

goal to 15%. Chapters 4, 5, and 6 offer specific tips on improving your savings habits.

THE REAL COST OF SHOPPING

Because of the way our tax system works, the cost of buying something is higher than you think. Here's why: Say you find a great jacket for \$75, and you buy it. If you were in the 25% tax bracket, you actually had to earn \$100 in order to pay for the jacket. That's because \$100 taxed at 25% is \$75. Keep this in mind on your next shopping spree.

↓ GETTING YOUR FINANCIAL LIFE IN ORDER

It's easier to gain control of your finances if you're organized. Here are some tips:

- **Set up a financial filing system.** This is simpler than you may think, since most of your bank, credit card, and brokerage accounts are already available online. I recommend filing as many of your financial records as possible electronically; it saves time, paper, and space. Also, if you move around a lot or travel often for work, it will still be easy to keep tabs on your bills and balances. Filing records on your computer also minimizes the risk of identity theft. Surprisingly, even in this digital age, most thieves still access your personal information through traditional methods such as stealing paper mail. If it's not in hard copy form, there's less risk that your personal information will get into the wrong hands. To be extra safe, change your passwords a few times a year and use only your personal computer to check account information. And of course back up all your files in case of a tech disaster. You'll want to save copies of any financial statements you